GRI: 2-24

LOANS AND RECEIVABLES

STRATEGY

Our financing strategy, aligned with our Company's goals, aims to make LBF the top lending solutions provider in Sri Lanka. We focus on enhancing our lending portfolio for individuals and businesses through activities such as leasing, vehicle loans, mortgage loans, gold loans, and other credit options to achieve our long-term, medium-term, and short-term objectives.

CORE COMPETENCIES

- Diverse product suite catering to all customer segments
- Customised solutions catering to individual customer
- Wide and multi-channel network for easy accessibility
- Exceptional service and quick response time

PERFORMANCE HIGHLIGHTS

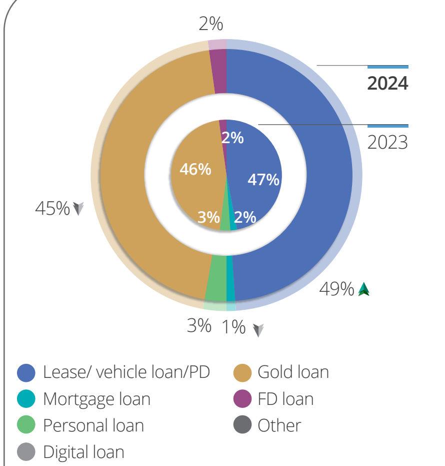
LEASE, VEHICLE LOANS AND POWER DRAFT PORTFOLIO GROWTH
14%
(2022/23 - 11%)

LOANS AND RECEIVABLES PORTFOLIO
Rs. 161 Bn
(2022/23 - Rs. 145 Bn)

GOLD LOAN PORTFOLIO GROWTH
10%
(2022/23 - 46%)

LENDING CUSTOMER BASE
400,000+

Product Portfolio



PRODUCT PORTFOLIO

SWOT ANALYSIS

Strengths

- Expansive physical and digital presence
- Diverse product portfolio
- Prompt customer service
- Competent team

Weaknesses

- Staff turnover due to the macro-economic conditions of the country
- Limited regional presence (Myanmar)

Opportunities

- Automation and digitisation to enhance customer experience
- Green lending

Threats

- Macroeconomic vulnerabilities
- Adverse fiscal policies
- High bargaining power of the customer

LEASE/ VEHICLE LOANS AND POWER DRAFT

Operating Context and Strategy

The operating context in the financial year 2023/24 improved compared to the previous year, marked by a continued decline in interest rates and improved business sentiments. This shift benefited the auto loans business, making it more attractive, resulting in increased volumes and improved contribution to the Company's bottom line.

During the FY, we remained committed to expanding our lending activities and supporting our customers' financial needs. Our focus was on expanding our existing portfolio with improved service and customer-centric initiatives. Notably, after a pause of three years, we resumed lending to the tourism sector, placing a greater emphasis on this industry.

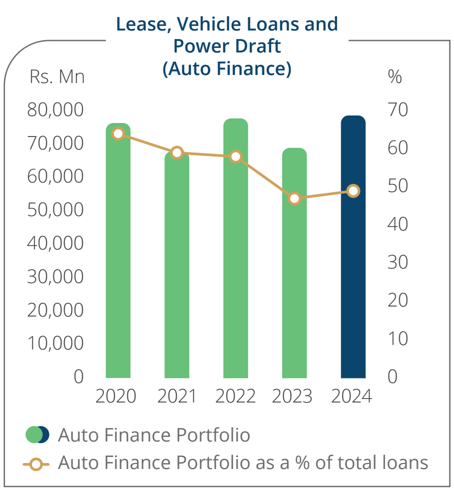
LOANS AND RECEIVABLES

Our credit marketing team reduced by 30% during the FY, reflecting the broader industry challenges stemming from the country's situation. Therefore, emphasis was placed on recruitment and training, resulting in the successful restoration of our team. The LB Pinnacle Club was launched to recognise top performers. Moreover, we successfully retained our top performers by close communication, incentivising top performers, and fostering a culture of excellence.

In terms of marketing and promotions, we sustained our annual promotions ensuring consistency in our marketing efforts. We invested in branding initiatives to resonate with the improving business sentiment, aligning our brand with the positive economic outlook.

Performance

The Auto Loans business delivered a commendable performance for FY 2023/24, in tandem with the improved lending sentiments. Auto finance portfolio increased by 14% YoY to Rs. 78.6 Bn. from Rs. 68.9 Bn. the previous year. Auto finance portfolio as a % of total loans too increased from 47% to 49% in 2023/24.



NPL Management

The recovery team demonstrated exceptional performance, maintaining diligent follow-up with customers ensuring their needs were addressed promptly. Moreover, we took proactive measures to comply with the CBSL regulations effective from April 2023. Therefore, the impact on Non-Performing Loans (NPLs) was minimal. Although there was a slight increase in the NPL initially, it was reduced to 3.54% by the end of the fiscal year. We remained committed to expanding our lending activities and supporting our customers' financial needs.

Furthermore, our call centre played a crucial role in facilitating close coordination with various operational departments, ensuring smooth communication with customers and efficient resolution of issues.

Extending Support to Our Customers

We maintained close engagement with our customers, seeking solutions to mitigate their losses and manage risks. Many customers independently found solutions to their challenges and successfully navigated through their difficulties. We provided the following concessions during the year.

- Offered interest waivers and reduced rates on flexible facilities in line with the declining interest rates
- Rebated the accumulated overdue interests
- Provided concessions to genuine customers for settlement of facilities
- Rescheduled facilities accommodating the financial challenges of customers

Outlook

We will commence the ensuing FY on a solid footing with our well-trained staff. To streamline loan disbursement, we will integrate the CIM app for smoother processing. We will engage in enhancing our brand and overall business visibility and actively promote pension loans and mortgage financing. Despite our current market share standing at 12%, our goal is to increase it by offering the most competitive rates. We aim to maintain our position as the market leader in terms of value propositions and attractiveness to customers.

GOLD LOANS

Operating Context and Strategy

The gold prices in Sri Lanka dropped in Q1 of FY2024 driven by a decline in global gold prices and the appreciation of the Sri Lankan rupee. This trend coincided with a negative growth in the Gold Loan portfolio of LFCs during the year. Accordingly, the Gold Loan portfolio of LFCs decreased notably from Rs. 229,800 Mn in FY 2022 to Rs. 218,923 Mn in FY 2023. This was mainly due to the majority of customers moving to banks from finance companies to take advantage of the reduced interest rates during the FY under review.

In this context, we focused on regaining our market share by maintaining a close relationship with our customers, adjusting their payment patterns and encouraging them to maintain interest payments to sustain their gold loan facilities. Moreover, to capture the business community, we strategically lowered our rates to be more competitive and conducted quarterly promotional campaigns tailored to their specific needs. A new product was launched targeting large ticket businesses. Furthermore, every quarter, we conducted a series of promotional campaigns targeting specific customer segments.

It is noteworthy to mention that we are the first finance company in Sri Lanka to launch a Gold Loan product catered for women. With 52% of our customer base comprising women entrepreneurs, engaged in home industries, the "Vanitha Ran saviya" was launched to empower women during the year.

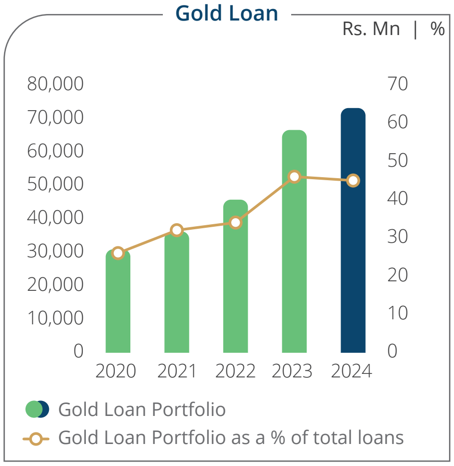
Our customer experience was enhanced by conducting a raffle draw, giving away 50 gold chains and bracelets to the winners, delivered to their homes. This is our second year of rewarding our customers, having gifted gold coins in the previous year.

Performance

Through our CIM platform, we offer unparalleled convenience to our customers by enabling all transactions to be conducted from the comfort of their homes, eliminating the need to visit a branch. Once the facility is granted, customers need to visit the branch when redeeming the article only. With an average of Rs. 2 Bn. top-ups processed through the CIM app, we have minimised paperwork and manual work while providing exceptional convenience. Consequently, top-up facilities have significantly increased YoY, reflecting the efficiency and popularity of our streamlined processes.

The Gold Loan portfolio increased by 10% YoY from Rs. 67 Bn. as of 31 March 2023 to Rs. 73 Bn. as of 31 March 2024. The proportion of Gold Loans in the total portfolio declined marginally from 46% to 45% in 2023/24.

The only Financial Institution in Sri Lanka to launch a Gold Loan product to empower women



The only Financial Institution to facilitate Gold Loan top-ups and renewals through the digital app

NPL Management

We successfully maintained our NPL ratio below the industry average, recording a value of 0.17% for the FY 2023/24 compared to 0.35% in the FY 2022/23.

Several proactive measures were implemented including stringent post-disbursement follow-up by the call centre and recovery action by branch teams to ensure effective management of portfolio quality throughout the current year.

Extending Support to Our Customers

With a dedicated workforce of 1200 employees and a well-organised business structure, we prioritise meticulous supervision and monitoring of our facilities. In addition, we have taken steps to educate our customers on using the LB CIM app, thereby enhancing their digital literacy and providing convenient financial solutions. Setting ourselves apart from other players in the LFC sector, we provide exclusive customer services such as fund top-ups and gold loan facility renewals through the CIM app, eliminating the need for branch visits. The camaraderie, collaboration, competence, and commitment of our staff enable us to consistently deliver exceptional customer service year-round. We offer more than just financial facilities to our loyal customers including caring and loyal service, and fostering enduring relationships.

Outlook

Leveraging our island-wide network, we will continue to serve customers across Sri Lanka. Even as gold holds significance at every milestone in life, we will support and serve our customers through each of these moments. We have fostered enduring relationships over the years through personalised service and support. We will continue to grow our business and enrich the experiences of our customers.

MORTGAGE LOANS

Operating Context and Strategy

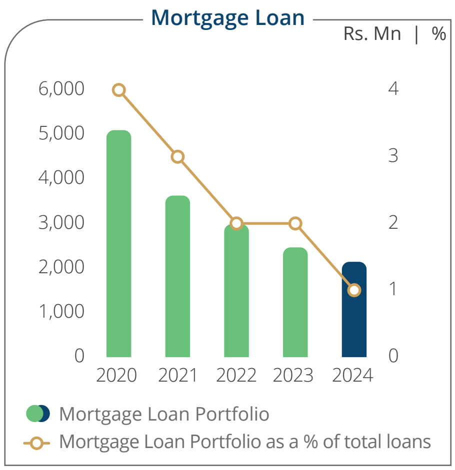
The operating context was marked by several challenges, including high-interest rates and inflation, soaring condominium prices, and rising building material costs. Government regulations, particularly income taxes, also had a significant impact on the disposable income of families, reducing their repayment capacity. Consequently, the demand for mortgage loans declined during the FY 2023/24.

However, recognising an opportunity among expatriates and Sri Lankans migrating for white-collar jobs, we strategically directed our efforts towards this segment, as they typically had higher rental payment capacity compared to average earners. Moreover, we observed a surge in demand for mortgage loans, particularly for financing children's education abroad. To effectively reach these target segments, we conducted targeted Facebook campaigns tailored to foreign expatriates, resulting in a significant influx of prospective inquiries.

Our credit appraisal system implemented a few years ago, provided invaluable support in assessing and managing these new demands. Additionally, to streamline processes and enhance convenience, all payments are now channelled through the LB CIM app. We encourage our customers to use the app for all transactions, ensuring efficiency and security in their financial interactions with us.

Performance

Mortgage loans recorded a decrease of 13% YoY to Rs. 2.14 Bn. as of 31 March 2024 from Rs. 2.46 Bn. as of 31 March 2023. The composition of mortgage loans decreased to 1% of the total loan portfolio in 2023/24.



NPL Management

We have refined our approach to effectively manage our NPLs. Our primary focus now lies on small ticket mortgages, specifically those under Rs. 10 million. Leveraging the synergy between our recovery team and the marketing department, we have adopted a collaborative strategy to expedite the loan recovery processes. This entails close monitoring of accounts, proactive engagement with customers to offer advice, and tailoring solutions to individual requirements.

Extending Support to Our Customers

The following initiatives were implemented to support our customers:

- Rescheduled facilities on a case-by-case basis
- Offered sub-loans to tide over temporary cash flow issues
- Provided rebates when settling loans to those who had financial difficulties

Outlook

As the economic landscape shows signs of improvement, we anticipate the economy to return to pre-2019 levels. The growing number of foreign income earners is expected to contribute positively to this trajectory. To capitalise on this trend, we are placing greater emphasis on serving foreign income earners and offering tailored solutions, particularly for small-ticket facilities. By aligning our focus with evolving market dynamics, we aim to optimise growth opportunities and enhance our overall performance.

CIM DIGITAL LOANS

Operating Context and Strategy

We introduced the CIM Business Loan to address the needs of customers who have been overlooked or underserved by traditional lenders. Other service providers often engage in selective lending practices, coupled with cumbersome paperwork requirements. On the other hand, while money lenders may offer fast service, the reliability of loan repayment can be uncertain. In response to these gaps in the market, we designed the CIM Business Loan to provide accessible, transparent, and reliable financing solutions to a broader spectrum of customers.

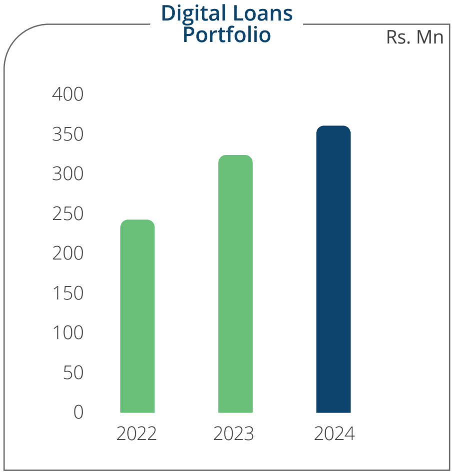
Amid the challenging business landscape where SMEs are particularly vulnerable and at risk of closure, we recognised the importance of supporting them with a cautious yet proactive approach. For our existing customers, we conducted thorough evaluations of their cash flows and CRIB reports, providing tailored advice and support throughout. Our commitment to never letting down any of our customers remains unwavering, as we strive to be a reliable partner.

We continued to lend to Pharmaceutical, groceries, hardware businesses and seasonal businesses.

Our marketing campaigns were conducted by a team of 60 marketing officers. We engaged in leaflet distributions, targeted Facebook advertisements, mega campaigns in key towns and assigned seven new customer interactions per marketing officer per day, to expand our customer base.

Performance

Digital loan portfolio recorded a 11% growth in 2023/24 from Rs. 324 Mn. as of 31 March 2023 to Rs. 361 Mn. as of 31 March 2024.



NPL Management

To effectively manage the NPLs, we focused on conducting thorough investigations into NPL cases and improved follow-up procedures involving multiple team members including marketing officers, team leaders, and recovery heads.

Extending Support to Our Customers

We offered guidance to empower customers to make sound financial decisions as follows:

- Extended personalised advice on maximum loan amounts that match their repayment capacity
- Discouraged over borrowing to avoid financial strain
- Helped them to identify optimal timing to obtain a loan based on their business seasons

Outlook

Moving forward, we will focus on expanding our business to individuals seeking loans over Rs. 500,000 with a need for swift processing, particularly those experiencing daily cash flow challenges.

PENSION LOANS

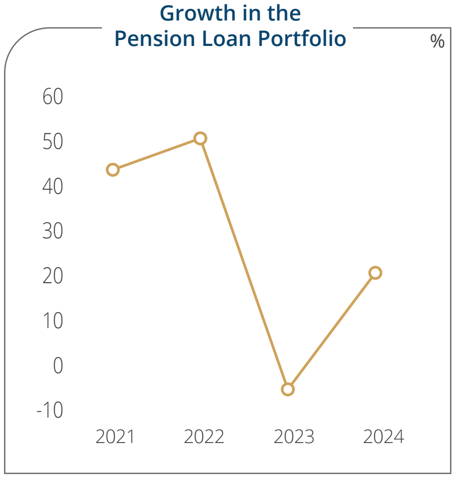
Operating Context and Strategy

The operating context for pension loans was challenging in the first 6 months of the FY 2023/24, marked by increased interest rates and limitations by the Pensions Department on loan amounts to 60% of the pension. This led to a drastic drop in loan volumes. The high inflation and income losses among pensioners also contributed to this decline. However, in recent months, there has been a reversal in this trend, with loan demand increasing, reflecting improving economic conditions and decreasing interest rates.

During the year, we strategically targeted acquiring new customers who had taken loans from other banks and successfully acquired those loans. We conducted an SMS campaign targeting pensioners and also sent out letters via postal mail.

Performance

Pension loans grew by 21% YoY to Rs. 3.9 Bn. as of 31 March 2024 compared to Rs. 3.2 Bn. as of 31 March 2023.



NPL Management

We maintain a low NPL ratio of 0.56%, largely attributed to our practice of using a guarantor, often the spouse, to facilitate better communication.

Extending Support to Our Customers

To support the customers, we couldn't adjust the instalments directly as they are linked to insurance coverage. However, we implemented rate changes based on individual customer circumstances to reduce their overall financial burden.

Outlook

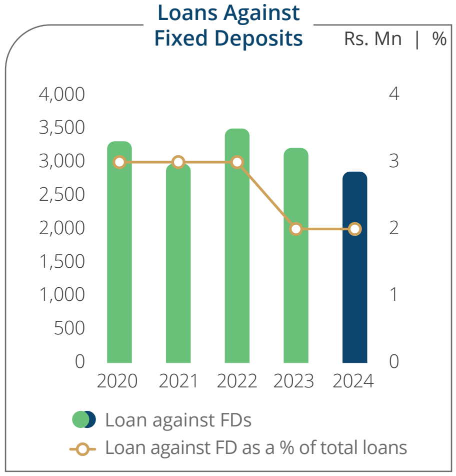
Moving forward, we aim to double our loan volume delivering a fast and seamless service that meets the needs and expectations of our customers and also driving volumes by targeting customers who prefer using digital platforms.

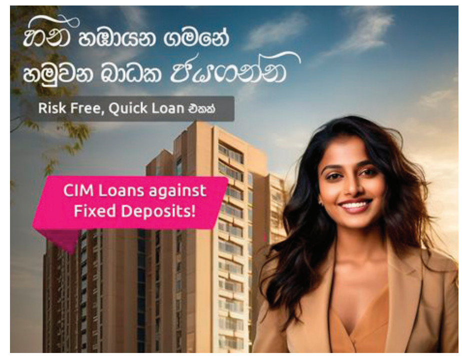
LOANS AGAINST FIXED DEPOSITS

Loans against fixed deposits offer a convenient and hassle-free way to access funds through the CIM app. This option provides a quick and easy loan facility with minimal lead time, making it a sustainable solution. Customers can avoid the inconvenience and cost of travel, as well as the hassle of paperwork, enabling a seamless borrowing experience.

Performance

On average, our loan volume ranges from 500 to 600 million per month. As of 31 March 2024, our loan portfolio stood at Rs. 2.9 Bn. reflecting our commitment to providing low-risk financing solutions.





	Short-term	Medium-term	Long-term
Objectives and goals	Tailor lending products to meet the specific needs of different customer segments through data analytics and AI.	Explore opportunities in emerging markets to expand the customer base.	Continuously monitor and comply with regulatory changes to avoid legal issues and build trust with customers
Related strategic pillars			
Related material matters			
Related stakeholders			
SDGs impact	8 9 12	8 11	8 9 12 17